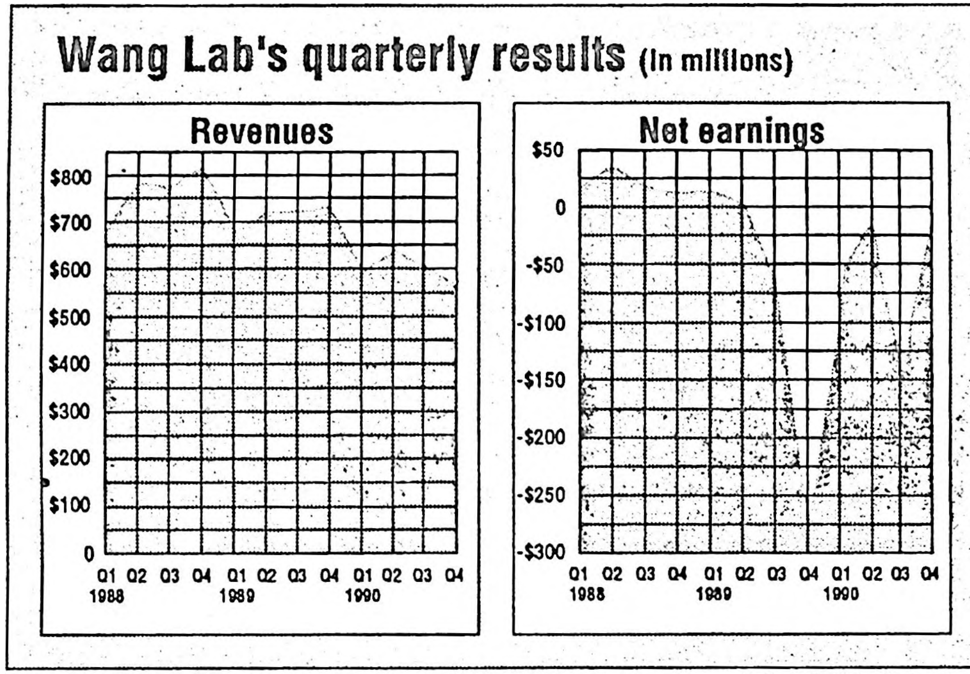
Wang rings up a profit

Just 2¢ a share, it's 1st since '88

By JEFFREY KRASNER



Source: Wang Laboratories

Staff graphic/Michael Bertrand

After preaching the gospel of a turnaround at Wang Laboratories for 14 months, Chairman Richard W. Miller yesterday offered what many might have considered a minor miracle: profits.

Wang's earnings for the first quarter which ended Sept. 30 were small — only 2 cents a share — but they were significant.

The company's first black ink in six quarters calmed customers, boosted the value of its stocks and bonds and also solidified Miller's reputation as a turnaround guru.

"Given an extremely difficult industry situation and an adverse economic environment, we are pleased with these results as further evidence that our turnaround programs are working," said Miller in a statement released before Wang's annual meeting last night.

"The company achieved another milestone by totally eliminating debt to its bank group. This debt was $575 million in August 1989."

Wang Class B stock jumped 25 cents to close at $3.25, a gain of nearly 8 percent, with 471,200 shars changing hands. Wang bonds which had been trading at less than 47 cents on the dollar jumped $32.50 per $1,000 face value to close at $462.50, a gain of about 8 percent.

Comparisons with the first quarter of 1989 were particularly telling.

In the just Wang moved from an operating loss of $30.1 million to a profit of $12.6 million. The sale of a real-estate subsidiary in Europe brought in an extra $12 million. After taxes, Wang earned $2.6 million, or 2 cents a share, compared with a loss of $62.1 million, or 38 cents a share the year before.

"They made real money," said Peter Kastner of The Aberdeen Group, a market-research firm in Boston. "Wang should be applauded for coming back from its position in the grave a year ago and reporting some real honest-to-goodness taxable profits. Miller has lived up to his advance billing."

The news was particularly sweet for information-system managers at companies that have purchased large amounts of Wang equipment. Those who made the decision to buy Wang are in danger of taking the blame for big investments that may become worthless should Wang Labs fail.

"It makes me feel pretty good," said Matt Gillman, office automation manager for the Blue Cross and Blue Shield Association in Chicago.

"It means I can get on with continuing to work with the vendor. We have a big investment, and we need the company to be viable if we're going to continue building on that."

But some observers said the real test for Wang lies in the coming months.

"This is an accomplishment," said Byron Walker of Moody's Investor's Service, "but the important question is if it can be sustained."